Of course, a clever regulated lender can avoid interest rate ceilings through hidden and not-so-hidden fees for making the loan. But let us assume the even cleverer regulator can ferret out such practices (not always a valid assumption). Nevertheless, there is still a problem. The lender has to recoup not just the credit-risk margin which compensates him for the higher default risk of lending to those on the economic edge, but also the fixed costs of making, monitoring, and recovering small loans. If the interest rate ceiling is set too low, the regulated lender will not bother to lend since it is not worth his while. With competition from the regulated stifled, the poor borrower is left to the tender mercies of the rapacious, unregulated moneylender. So interest rate ceilings have to have a Goldilocks quality – not so high that they allow the uninformed poor to be exploited, and not so low that they kill any incentive the regulated might have to lend. This is the very thin line that the RBI has been following in setting interest rate ceilings for microfinance firms. As institutional frameworks develop to reduce risk in lending, and as competition amongst lenders increases, we can lower the maximum chargeable rate.

In a similar vein, our regulations sometime prohibit the taking of collateral for loans below a certain size to certain borrowers such as students or small businesses. However, if lenders are not forced to lend, the prohibition on taking collateral may lead to borrowers who can indeed offer collateral being denied a loan. The impossible trinity suggests that you cannot limit interest rates, prohibit the taking of collateral, and still expect the borrower to have the same level of access to loans. Put differently, unless a regulation mandates lending, which it rarely does, there is always a risk that ceilings on interest rates or prohibitions on taking collateral will cut off institutional lending to some of the eligible. Our regulations must be set bearing this in mind.